

Commercial Lease Agreement - Part 4: Default, Termination & General Provisions

- **Source Document ID:** `commercial_lease_agreement_part_4_termination_general`
 - **Document Version:** 2.1 (Expanded)
 - **Date of Generation:** 2025-12-15
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16. EVENTS OF DEFAULT

16.1. Tenant Default The occurrence of any of the following shall constitute an "Event of Default" by Tenant:

- **Monetary Default:** Failure to pay Base Rent, Service Charges, or any other sum due hereunder within **thirty (30) days** after written notice from Landlord.
- **Non-Monetary Default:** Failure to observe or perform any other covenant or provision of this Agreement, which failure continues for **thirty (30) days** after written notice requiring the same to be remedied.
- **Insolvency:** Tenant becomes insolvent, files for bankruptcy, is placed under suspension of debt payment obligations (PKPU), or enters into liquidation.
- **Abandonment:** Tenant vacates or abandons the Premises for a continuous period of more than **sixty (60) days**.

16.2. Landlord Default Landlord shall be in default if it fails to perform its obligations under this Agreement and such failure adversely affects Tenant's business, provided Tenant gives Landlord **thirty (30) days** written notice to cure.

17. REMEDIES

17.1. Landlord's Remedies Upon the occurrence of an Event of Default by Tenant, Landlord shall have the following rights and remedies, in addition to those available at law:

- **Termination:** Terminate this Agreement by written notice effective immediately.
- **Re-entry:** Re-enter and take possession of the Premises, removing all persons and property therefrom.
- **utility Suspension:** Suspend electricity and water services to the Premises.
- **Damages:** Recover from Tenant all Rent and other charges due up to the date of termination, plus the present value of the difference between the Rent moving forward and the fair market rental value.

17.2. Waiver of Article 1266 The Parties expressly waive the provisions of Article 1266 of the Indonesian Civil Code to the extent that a judicial decision is required to terminate this Agreement. Termination shall be effective upon simple written notice.

18. EARLY TERMINATION BY TENANT

18.1. Break Option Tenant may terminate this Agreement effective as of the end of the **48th month** of the Term (the "**Early Termination Date**"), provided that:

- Tenant gives Landlord irrevocable written notice at least **six (6) months** prior to the Early Termination Date;
 - Tenant is not in default at the time of notice or on the Early Termination Date;
 - Tenant pays an Early Termination Fee equal to **eighteen (18) months of Base Rent**.
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19. FORCE MAJEURE

19.1. Definition "Force Majeure" means any event beyond the reasonable control of a Party, including acts of God, earthquakes, floods, riots, war, terrorist acts, pandemics, or government actions forbidding the occupancy of the Premises.

19.2. Effect If either Party is prevented from performing its obligations (other than payment of money) by Force Majeure, performance shall be excused for the duration of the event. If the Force Majeure event continues for more than **ninety (90) days**, either Party may terminate this Agreement without penalty.

20. INSURANCE AND INDEMNITY

20.1. Tenant's Insurance Tenant shall maintain, at its expense:

- **Commercial General Liability Insurance** with a limit of not less than IDR 10,000,000,000 (Ten Billion Rupiah) per occurrence.
- **Property All Risk Insurance** covering Tenant's fit-out, furniture, and equipment.

20.2. Indemnity Tenant shall indemnify and hold Landlord harmless from any claims, damages, or liabilities arising out of Tenant's use of the Premises or any negligence or willful misconduct by Tenant or its employees.

21. DISPUTE RESOLUTION

21.1. Amicable Settlement Any dispute arising out of this Agreement shall first be settled amicably through good faith negotiations between the Parties for a period of thirty (30) days.

21.2. Arbitration If the dispute cannot be resolved amicably, it shall be finally settled by arbitration in Indonesia under the administrative rules of the **Indonesian National Board of Arbitration (BANI)** currently in force. The seat of arbitration shall be Jakarta, and the language shall be English.

22. GENERAL PROVISIONS

22.1. Governing Law This Agreement shall be governed by the laws of the **Republic of Indonesia**.

22.2. Entire Agreement This Agreement, including all Schedules, contains the entire understanding of the Parties.

22.3. Notices All notices shall be in writing and delivered to the addresses specified in Clause 1.

22.4. Language This Agreement is executed in English and Indonesian. In the event of inconsistency, the English version shall prevail to the extent permitted by Law (specifically referring to Law No. 24 of 2009).

IN WITNESS WHEREOF, the parties have executed this Agreement as of the Effective Date.

Landlord: PT Graha Sentosa Properti Signature: ____ Name: Budi Santoso Title: President Director

Tenant: PT Cakrawala Usaha Mandiri Signature: ____ Name: Siti Aminah Title: Director of Operations

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